C. Statement I is false, and Statement II is true.
D. Both statements are false. (A)/(CO4)

38.Recall the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.

Assertion (A): A cheque is not entitled to days of grace.
Reasoning (R): A cheque is always payable on demand and does not have a future maturity date to which days of grace can be added.

A. Both A and R are true, and R is the correct explanation of A.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. A is false, but R is true. (R)/(CO1)

39. Consider the following statements and state which of the statements are true.

Statement (1): A bearer instrument can be negotiated by mere delivery under Sec 47 of NIA
Statement (2): Negotiation by endorsement and delivery is under Sec 48 of NIA
Statement (3): In negotiation by endorsement and delivery, both endorsement and delivery are necessary.
Statement (4): Endorsement alone is sufficient to complete the negotiation of an instrument.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U) /(CO1)

40.Apply the provisions relating to contracts in securities and identify the set of statements that correctly describes the recognised types of contracts.

Statement (1): Spot delivery contracts involve delivery and payment on the same day or the next day.
Statement (2): Ready delivery contracts involve delivery within 11 days after the date of the contract.
Statement (3): Forward contracts involve delivery beyond the period specified for ready delivery contracts.
Statement (4): Derivative contracts derive their value from underlying securities and are valid under Section 18A when traded on a recognised stock exchange.
Statement (5): Perpetual contracts have no fixed delivery date and may be rolled over indefinitely.

A. (1), (2) and (3) only
B. (1), (3) and (4) only
C. (1), (2), (3) and (5) only
D. (1), (2), (3) and (4) only (A)/(CO2)

41.Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.

Assertion (A): The Securities Appellate Tribunal has the power to confirm, modify or set aside a decision of a recognised stock exchange.
Reasoning (R): The Tribunal may also stay the operation of the exchange’s decision and call for the relevant records.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (U)/ (CO2)

42. Consider the following statements and choose the most appropriate alternative.

Statement I: Price manipulation is a practice covered under fraudulent and unfair trade practices.
Statement II: Front-running is a practice covered under fraudulent and unfair trade practices.

A. Both statements are true.
B. Statement I is true, and Statement II is false.
C. Statement I is false, and Statement II is true.
D. Both statements are false. (R)/ (CO3)

43.Understand the following statements and choose the correct alternative.

Assertion (A): SEBI was initially established in 1988 as a non-statutory body and was later made a statutory body in 1992.
Reasoning (R): SEBI was given statutory status to provide it with legal authority and enforcement powers to regulate the securities market.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (U)/ (CO3)

44.Understand the following statements and state which of the statements are true.

Statement (1): The Registrar has the power to examine applications for registration of geographical indications.
Statement (2): The Registrar has the power to accept or reject applications for registration.
Statement (3): The Registrar has the power to hear opposition proceedings and register geographical indications.
Statement (4): The Registrar has no power to register renew the registration of geographical indications.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U) /(CO4)

45. Apply the concept of copyright and choose the correct alternative.

Assertion (A): A copyright holder can prevent another person from reproducing an original work without permission.
Reasoning (R): Copyright gives the owner exclusive economic rights, including the right to reproduce the work.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.

C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (A)/ (CO4)

46.Recall the following statements and choose the most appropriate alternative.

Statement I: A holder may or may not have given consideration for the negotiable instrument.
Statement II: A holder in due course must have acquired the instrument for value, in good faith, and before its maturity.

A. Both statements are true.
B. Statement I is true, and Statement II is false.
C. Statement I is false, and Statement II is true.
D. Both statements are false. (R)/(CO1)

47.Understand the following parties to a negotiable instrument with their correct descriptions.

Column I	Column II
(a) Drawer	(i) Person directed to pay the amount
(b) Drawee	(ii) Person accepting the bill for the honour of another party
(c) Drawee in case of need	(iii) Person who makes or draws the bill
(d) Acceptor for honour	(iv) Person named in the instrument to whom the holder may resort in case of need

A. (a)–(iii), (b)–(i), (c)–(iv), (d)–(ii)
B. (a)–(i), (b)–(iv), (c)–(ii), (d)–(iii)
C. (a)–(iv), (b)–(ii), (c)–(iii), (d)–(i)
D. (a)–(ii), (b)–(iii), (c)–(i), (d)–(iv) (U)/ (CO1)

48.Match the following grounds for Withdrawal/Cancellation of Recognition of Stock Exchange with the appropriate description.

Column I – Grounds	Column II – Description
(a) Failure to comply with conditions of recognition	(i) Giving up recognition voluntarily by the stock exchange
(b) Failure to comply with SEBI directions	(ii) Not fulfilling the conditions prescribed for recognition
(c) Failure to complete corporatisation and demutualisation	(iii) Not following directions issued by SEBI
(d) Voluntary surrender	(iv) Failure to complete the required corporatization and demutualization process

A. (a)–(i), (b)–(iv), (c)–(iii), (d)–(ii)
B. (a)–(iii), (b)–(ii), (c)–(i), (d)–(iv)
C. (a)–(iv), (b)–(i), (c)–(ii), (d)–(iii)
D. (a)–(ii), (b)–(iii), (c)–(iv), (d)–(i) (U)/(CO2)

49. Consider the following statements and state which of the statements are true.

Statement (1): SAT has the same powers as those vested in a civil court under the Code of Civil Procedure, 1908.
Statement (2): SAT has the power to stay the operation of an order made by SEBI pending the hearing and final disposal of an appeal.
Statement (3): SAT has the power to award costs to the successful party and direct the unsuccessful party to pay such costs.
Statement (4): SAT has the power to regulate its own procedure in accordance with the SAT Procedure Rules, 2000.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U) /(CO3)

[2x25 = 50]